

FRAMEWORK IN PRACTICE

Evaluating Startup Ideas

Ten case studies through one evaluation framework

The successes — Toast · Shopify · QuickBooks · Bill.com · Rippling · Ramp

The failures — Zenefits · Fast · Olive AI · WeWork

Each company is evaluated as it looked at founding, not in hindsight.

The goal is intuition: learning what strong answers sound like —
and where weak answers hide.

ORIENTATION

How to run the framework

The framework asks six families of questions. For each, the sub-questions below say what is being tested and what separates a strong answer from a plausible-sounding one — so the framework can be applied to your own idea, not just read as commentary. Parts I and II then show the answers in the wild: ten companies, six wins, four collapses, same questions.

1 · The opportunity

What type of opportunity is this?

- **Paradigm shift** — a fundamental change in technology opens a new market.
- **New product or business model in an existing market** — a very painful problem without a good solution.
- **Me-too product** — an existing product made an order of magnitude faster, cheaper, or better.
- *Honesty test*: describe the actual mechanism in one sentence with no category words. If the mechanism and the claimed type diverge (lease arbitrage sold as a tech platform, RPA sold as AI), the type is wrong — and every downstream answer built on it is corrupted.

Why does the opportunity exist?

- **Markets that change** — the industry is in transition and customers are receptive to it.
- **Markets that are badly understood** — name the precise belief incumbents and investors hold that you think is wrong ("small merchants don't want their own stores").
- **Markets that are fast growing** — many new decisions are about to be made by customers.
- **Markets where incumbents cannot move** — name what responding would force them to destroy: a channel, a margin structure, a brand promise.
- **Markets with little or weak competition.**
- *Strong*: names the specific change or wrong belief in one sentence. *Weak*: "the market is huge and growing" — a fact about the market, not a reason a new entrant gets to exist.

2 · Value creation

What problem are you solving, and for whom?

- Name the customer by role, not demographic: "the controller at a 50-person company," not "SMBs."
- In B2B, separate the buyer from the user — and check they are aligned.

How frequent, how critical, what is it worth?

- **Frequency** — daily and weekly problems build businesses; quarterly problems build features.
- **Criticality** — what breaks if it goes unsolved this week? If "nothing," it is a vitamin.
- **Financial impact** — in dollars or hours, computed for one specific customer, not for the economy.

Will customers buy? How do you know? Hold evidence to a behavioral standard, descending:

- Customers already paying for a worse version.

- Customers visibly misusing an adjacent product or maintaining duct-tape workarounds (the Quicken signal).
- Customers who switched real money or real workflow to you.
- Paid pilots.
- Far below everything else: stated interest, surveys, and free signups — which can be worth exactly nothing (Zenefits).

3 • Market

Can the incumbents serve this market?

- Ask of each one: **what would they have to destroy to respond to us?** The strong answer is structural — responding kills their channel, margin, or positioning.
- If the answer is "nothing — they'd just have to decide to," you are betting on inattention, which is rented, not owned.

What is your TAM? How many potential customers exist?

- Size **bottom-up on the underlying flow** (GMV, payment volume, spend) at your actual monetization — not top-down on the software category.
- TAM is partly endogenous: count how the addressable base changes when price and friction fall by 10x — non-consumers become customers.
- Treat a trillion-dollar top-down slide as a red flag, not an asset (see Part III).

How much will customers pay?

- Include transaction economics, not just the subscription price — the strongest answer is often "a percentage of their revenue, invisibly."

4 • Winning

How will you get new customers faster than competitors?

- **Borrowed trust** — a channel where someone the customer already trusts makes the introduction: accountants, brokers, banks, developer ecosystems.
- **Or structural friction removal** — self-serve, an order-of-magnitude lower entry cost, free software funded by transaction economics.
- "Great marketing" is not an answer; the winners in Part I never outspent anyone.

How does your product improve with scale?

- Name the specific loop by which customer N makes the product better or cheaper to sell for customer N+1: an app ecosystem, a two-sided payment network, a data layer, an advisor channel.
- If the loop cannot be named, it does not exist.

How will you protect existing customers — and offset churn?

- **Defensively:** what makes leaving expensive (integrations, data, workflow depth).
- **Offensively:** what makes net revenue retention exceed 100% — rails on the customer's own flow, or cross-sell — so survivors' growth outruns the logos you lose.

5 • Team

Why are you the right person to build this company?

- The test is not pedigree but **earned specificity**: what do you know about this customer's day that the world does not — from being the customer, building in the exact domain before, or watching users in their own offices?
- Can the same team both build the product *and* sell it?
- "Smart and hardworking" describes every team in every pitch.

6 • Inversion

Give yourself fifteen minutes to find the fatal flaw. Four checks, in order:

- **Find the public comparable** — if a company already runs your actual mechanism at scale, its valuation is evidence about yours (the IWG lookup that the WeWork story turned on).
- **Run the dependency question** — does success require other companies to act against their own interest, or capital markets to stay generous forever?
- **Run the vitamin test** against your criticality answer from section 2.
- **Check the divergence** — explain how the product actually works to a skeptic; if the explanation keeps reaching for category words (AI, platform, network) instead of mechanism, the soft spot is found.
- The fifteen minutes only work if you genuinely try to kill the idea — inversion performed as a formality found nothing at WeWork for nine years.

The single most diagnostic question in the framework: "How does your product improve with scale?"

Every success in Part I has a compounding answer. Every failure in Part II does not. If you only have time to pressure-test one answer in a pitch, test this one.

One warning before the successes: every company in Part I looked like a bad idea to smart investors at founding. Restaurants were terrible customers. Tiny merchants weren't a market. Small-business owners couldn't do accounting. Accounts payable was a backwater. The strong answers below were not obvious at the time — that is precisely why the opportunities were available.

PART I

The Successes

Six companies whose framework answers were strong — and what made them strong.

Toast

Founded 2012 · Restaurant POS and operations platform · IPO 2021 · ~\$13B+ market cap

The Opportunity

What type of opportunity is this? A paradigm shift. Cloud computing plus cheap consumer tablets made it possible to replace on-premise restaurant point-of-sale systems — Micros, NCR, Aldelo — that ran on proprietary hardware costing \$20,000–\$50,000 upfront and required on-site service contracts.

Why does the opportunity exist? This is the textbook case of **incumbents that cannot move**. Micros and NCR sold through regional dealer networks that earned their margin on hardware installs and on-site service. Moving to cloud SaaS would have destroyed their own distribution channel — a structural innovator's dilemma. They saw Toast coming and could not respond without dismantling their own business.

Value Creation

What problem are you solving, and is it mission-critical? It does not get more literal: if the POS goes down during Friday dinner rush, the restaurant loses revenue *that hour*. Frequency is every transaction of every service. The customer is the operator-owner; in larger groups, the GM and the controller both feel the pain.

What is the financial impact, and will customers pay? The pricing answer is the masterstroke. Toast bundled payment processing, so it doesn't just charge SaaS fees — it takes basis points on every dollar flowing through the restaurant. Customers pay far more than they perceive, because the cost is embedded in transactions rather than appearing as a software line item.

Market & Winning

Can the incumbents serve this market? Structurally, no (see above). **Why will you win?** Vertical depth against horizontal generalists. Square treated restaurants as one segment among many; Toast built handheld terminals for servers, kitchen display systems, online ordering, and payroll for tipped employees. Every restaurant-specific feature widened a gap that a horizontal player couldn't close without abandoning its own strategy.

How does the product improve with scale? More locations means more payment volume, more integration partners, more restaurant-specific data informing the product, and a hardware-plus-software install base with real switching costs.

Team & Inversion

Why this team? Three Endeca engineers (Steve Fredette, Aman Narang, Jonathan Grimm) who could build hardware-adjacent enterprise software, and who started by living inside restaurants to learn the workflow.

The fatal flaw a smart investor would have flagged: restaurants are terrible customers — thin margins, roughly 30% annual failure rate, low technical sophistication. Many investors passed for exactly this reason.

The counter that proved true: churn from business failure is survivable if you own the payment stream of the survivors, and the market is enormous (860,000+ US restaurants). COVID then nearly killed the company — and then made it, when online ordering went from nice-to-have to existential overnight.

What to remember: the strongest possible answer to "why does the opportunity exist" is an incumbent that is *structurally blocked* — one that cannot respond without destroying its own channel or margin structure. "We'll out-execute them" is a weak answer; "they cannot follow us" is a strong one.

Shopify

Founded 2006 · Commerce platform for independent merchants · IPO 2015 · ~\$100B+ market cap

The Opportunity

What type of opportunity is this? A new product in an existing market that was an order of magnitude better. Tobi Lütke tried to open an online snowboard store and found Yahoo Stores and osCommerce so bad that he built his own platform on Ruby on Rails. Founder-problem fit does not come cleaner: the founder was the customer.

Why does the opportunity exist? A **badly understood market**. The 2006 consensus held that small merchants should simply sell on eBay or Amazon — why would anyone want their own store? Enterprise commerce vendors (ATG, IBM WebSphere) only wanted six-figure deals. Nobody believed millions of tiny merchants constituted a market. That disbelief was the opportunity, and it kept serious competition away for years.

Value Creation

What problem are you solving? Setting up an online store required a developer and months of custom work. Shopify made it a weekend project for \$29 a month. The problem is mission-critical by definition — the store *is* the business — and the frequency is continuous.

Will customers buy? How do you know? Unusually strong evidence: Lütke was his own first customer (Snowdevil ran on the platform), and the early Rails community adopted and extended it organically before any sales motion existed.

Market & Winning

How will you win, and how does the product improve with scale? The best compounding answer in this entire document: the app store and theme ecosystem. Every third-party developer who built a Shopify app made the platform more capable and harder to leave — a moat Shopify's competitors had to rebuild from zero. Then Shopify Payments converted merchant GMV growth directly into Shopify revenue. Today merchant solutions (payments, capital, shipping) dwarf subscription revenue; the \$29 SaaS fee was only the wedge.

How will you protect existing customers from competition? Switching costs grow with the merchant: themes, apps, payment history, fulfillment integrations. The more successful the customer, the deeper the lock-in — the healthiest form of retention.

Team & Inversion

Why this team? A founder-engineer who lived the problem, built the product for himself, and was embedded in the developer community that became the ecosystem.

The fatal flaw: your success depends entirely on your customers' success, and most small merchants fail. Also: Amazon could crush you. Shopify's reframe — "arming the rebels" — turned the Amazon threat into positioning. The churn problem was real but offset by power-law economics: the winners in the merchant base grow GMV exponentially, so revenue concentrates in survivors even as small accounts churn.

What to remember: "badly understood market" is not a euphemism for "no market." The test is whether a specific, identifiable belief held by incumbents and investors is wrong. In 2006 that belief was "small merchants don't want their own stores." Name the wrong belief, and you've named your window.

QuickBooks (Intuit)

Launched 1992 · Small-business accounting · Majority market share within months of launch

The Opportunity

What type of opportunity is this? A me-too product that was dramatically better — accounting software already existed (Peachtree and various DOS packages), but all of it was built for people who understood debits and credits.

Why does the opportunity exist? The purest **badly understood market** story in software history. Intuit noticed something strange in its own data: a large share of Quicken users — a *personal finance* product — were running businesses on it. Why? Because every "real" accounting package assumed accounting knowledge, and most small-business owners have none and never will. Competitors optimized for accountants; the actual customer was a florist who wanted to send an invoice.

Value Creation

How do you know the problem exists? The gold-standard answer. Intuit's famous "follow me home" research: employees literally watched customers install and use the product in their own offices. They didn't survey intentions — they observed behavior. The Quicken-for-business usage data was behavioral evidence of demand before the product existed.

How is this mission-critical? Through fear: wrong books mean tax problems, cash-flow blindness, payroll errors. Frequency is weekly to daily. The buyer and the user are the same person — the owner — which makes the sale simple.

Market & Winning

Can incumbents serve this market? They were serving the wrong customer on purpose. Their product roadmaps, marketing, and channel all pointed at accountants and bookkeepers. Serving accounting-illiterate owners would have meant repudiating their own positioning.

How will you win, and how does it improve with scale? Within roughly two months of launch QuickBooks took the majority of the small-business accounting market, despite lacking features competitors had. Then the moat compounded through an unexpected channel: **accountants standardized on it**, because their clients arrived already using it. Every new business got told by its CPA to use QuickBooks — a distribution network effect disguised as a product.

Team & Inversion

Why this team? Scott Cook came from Procter & Gamble and brought consumer-products customer research into software — a discipline the industry simply did not have in 1992.

The fatal flaw: "it doesn't even do real accounting properly." Early QuickBooks horrified accountants — no double-entry visible anywhere. That flaw was the feature. Optimizing for the judgment of experts instead of the workflow of actual users is exactly how the incumbents lost.

What to remember: the most credible answer to "how do you know the problem exists" is observed behavior, not stated preference. Customers misusing an adjacent product to solve the problem (Quicken as business accounting) is among the strongest demand signals that exists.

Bill.com

Founded 2006 · SMB accounts payable / receivable automation · IPO 2019

The Opportunity

What type of opportunity is this? A new product in an existing market — and the most boring market imaginable: small-business accounts payable, which in 2006 meant paper invoices, physical approval signatures, and printed checks. Roughly 80% of US B2B payments still moved by check.

Why does the opportunity exist? Incumbents could not move. Banks owned business payments but had no incentive to kill their own check revenue and no DNA for building workflow software. ERP vendors served enterprises. The SMB AP/AR workflow was an orphan that nobody with distribution wanted to claim.

Value Creation

What problem, how frequent, how critical? Every business pays bills every month, and a business that doesn't pay its vendors stops being a business. The financial impact is concrete: a bookkeeper spending ten hours a month chasing approvals and stuffing envelopes versus clicking approve. The buyer (owner/controller) and user (bookkeeper) are adjacent and aligned.

Who in the organization has this problem? Precisely answerable — the bookkeeper drowns in it, the controller owns it, the owner signs the checks. Three aligned stakeholders, one workflow.

Market & Winning

How will you get customers faster than competitors? Channel distribution through trusted advisors: an exclusive arrangement with CPA.com (the AICPA's commercial arm) put accounting firms in the sales seat, and white-label deals put banks there too. The people SMBs already trusted did the selling.

How does the product improve with scale? A genuine two-sided network: every business paying through Bill.com pulls its vendors onto the platform to receive payment; those vendors then become payers themselves. Layered on top, three revenue streams — subscriptions, transaction fees, and float on funds in motion — each of which grows with network size.

Team & Inversion

Why this founder? Arguably the most qualified person on earth for this specific problem. René Lacerte had already founded PayCycle (online SMB payroll, acquired by Intuit) and came from a multi-generation family of payroll entrepreneurs. He knew the customer, the channel, and the regulatory terrain cold.

The fatal flaw: the market moves glacially — SMBs do not wake up wanting to change how they pay bills, and payment fraud risk is existential for a money-movement company. Bill.com's answer was patience plus channel leverage; it took thirteen years to reach IPO. Slow markets punish startups that need fast wins — but they equally protect winners, because no competitor can speed the market up either.

What to remember: "How fast do you need to build?" has no universally right answer. Bill.com's window stayed open for a decade because the same inertia that slowed adoption also blocked competitors. Match your capital strategy to the market's metabolism — a mismatch in either direction is fatal.

Rippling

Founded 2016 · Workforce management platform built on the "employee graph" · Valued ~\$16.8B (2025)

The Opportunity

What type of opportunity is this? A new product and a new company-building model in an existing market: the **compound startup**. Instead of one point solution, Rippling built a unified employee record — the employee graph — and then every system that needs to know *who works here and what they should have access to*: payroll, benefits, device management, app provisioning, expense, identity.

Why does the opportunity exist? The market had fragmented into dozens of point solutions, each duplicating the same employee record. Incumbents could not consolidate it: ADP sits on decades-old architecture; Workday serves enterprises; and point players like Gusto or BambooHR are each built on a narrow data model that cannot stretch sideways without a rebuild. The deeper answer: **startup orthodoxy itself was the moat**. "Do one thing well" had produced the fragmentation, and the same orthodoxy deterred anyone else from attempting the compound approach.

Value Creation

What problem, how frequent, how critical? Every hire and every termination touches payroll, benefits, a laptop, and a dozen app accounts — typically administered across ten disconnected systems by one overloaded ops person. Frequency is every employee lifecycle event. Criticality is double: payroll must run, and a botched offboarding is a security incident, not an inconvenience.

Who in the organization has this problem? HR, IT, and finance simultaneously — which is precisely why no point solution owned it. The problem lived in the seams between departments, where single-category products structurally cannot go.

Market & Winning

Why can you build this better than everyone else? Marginal product economics. Once the employee graph and shared infrastructure (billing, permissions, workflow) exist, each additional product is dramatically cheaper to build than the same product at a standalone competitor — and it is sold into an installed base at near-zero acquisition cost.

How will you get new customers faster than competitors? The compound model answers its own distribution question: selling many products in one motion produces an ACV that point-solution rivals charging \$8 per employee per month cannot match, which funds a heavier sales engine than they can afford. Conrad also returned to the insurance-broker channel he knew from Zenefits — this time *partnering* with brokers rather than declaring war on them.

How does the product improve with scale? On two compounding axes at once: every new product deepens the employee graph, and every new customer justifies building the next product. Switching costs grow the same way — ripping out an employee graph wired into payroll, devices, and a hundred app integrations is nothing like churning one HR tool.

Team & Inversion

Why is this the right founder? Parker Conrad, building in the exact market where his previous company collapsed — with every Zenefits failure mode deliberately inverted. Zenefits gave software away; Rippling charges full price, which tests real pain on day one. Zenefits treated compliance as friction; Rippling treats it as product. Zenefits attacked the broker channel; Rippling recruited it.

The fatal flaw: compound startups violate the focus orthodoxy for a reason — the realistic risk is shipping ten mediocre products instead of one great one, with execution complexity that has killed every prior attempt. The counter: the shared data layer genuinely lowers each product's marginal cost, but only with unusual engineering discipline — which is exactly why the strategy remains hard to copy even now that it is proven.

What to remember: Rippling is Zenefits inverted — same founder, same market, opposite answers to the same framework questions. The pairing is the cleanest proof in this document that the framework evaluates *answers*, not people or markets: change the answers and the same founder in the same market produces the opposite outcome.

Ramp

Founded 2019 · Corporate cards and finance automation · Valued \$22.5B+ (2025) · Among the fastest-growing B2B companies ever

The Opportunity

What type of opportunity is this? A me-too product made an order of magnitude better by inverting the business model. Corporate cards had existed for decades (Amex) and Brex was already the hot startup. Ramp's wedge: incumbents monetize *spending* — points and rewards exist to maximize it — so Ramp positioned as the card designed to help companies **spend less**, bundled with free expense, bill-pay, and close software.

Why does the opportunity exist? Because the spend-less position was structurally unavailable to every incumbent. Amex's economics and brand are built on rewards-driven spend maximization; banks earn on fees and float; even Brex anchored on points. Telling customers to spend less would cannibalize each incumbent's core revenue. This is Toast's dealer-channel logic transposed from distribution to business model.

Value Creation

What problem, and what is the financial impact? Expense reports are universally hated, month-end close is manual, and duplicate or zombie SaaS subscriptions are invisible. The buyer is the CFO or controller; the user is every employee. Frequency is every transaction plus every monthly close. The financial impact answer is unusually concrete because Ramp *quantifies it on the dashboard* — identified savings plus hours returned — so the ROI case sells itself.

Will customers buy? How do you know? The software is free, monetized through interchange — so "buying" means moving real card spend, which is a far more honest commitment test than a free signup. Zenefits' free product proved nothing; Ramp's free product still demands the customer's payment flow.

Market & Winning

How will you get new customers faster than competitors? Three structural answers rather than a bigger marketing budget. Free, interchange-funded software removed price friction against paid tools like Concur and Expensify. The quantified-savings pitch gave CFOs a one-line, verifiable reason to switch. And finance leaders are a dense referral network — controllers move between companies and bring their stack with them.

How does the product improve with scale? Payment rails again: interchange revenue grows automatically with each customer's spend, and expansion into bill pay, procurement, travel, and treasury makes Ramp the finance operations layer rather than a card. The product also literally improves with volume — more spend data means sharper savings insights, which deepens the core positioning.

Team & Inversion

Why this team? Eric Glyman and Karim Atiyeh had built Paribus — software that automatically claimed price-drop refunds for consumers, acquired by Capital One. The savings-as-product DNA transplanted directly into corporate spend.

The fatal flaw: revenue rides on interchange, a rate regulators have capped before and could cap again; the model carries credit risk; Brex had a head start and more capital; and "spend less" sounds self-defeating for a company earning a percentage of spend. The counter that proved out: wasteful spend falls, but *share of wallet*

rises faster — alignment with the CFO compounds trust into more products and more flow. Ramp wins a bigger slice of a leaner budget.

What to remember: when every incumbent monetizes a behavior, positioning *against* that behavior is a moat none of them can follow you into. The strongest form of "why can't they respond" is not technical — it's that responding requires the incumbent to bet against its own income statement.

PART II

The Failures

Four well-funded companies whose framework answers sounded plausible — and where exactly they fell apart. Combined peak valuations: roughly \$56 billion. Combined outcome: near-total loss.

Zenefits

Founded 2013 · Free HR software monetized via insurance brokerage · Peak ~\$4.5B (2015) · Collapsed 2016, assets sold 2022

The Opportunity — where it sounded strong

What type of opportunity? A new business model in an existing market, and a genuinely clever one: give away HR software (onboarding, benefits, payroll integration) for free, and monetize as the insurance broker of record, collecting recurring commissions that incumbent analog brokers were collecting for doing paperwork. SMB HR really was paper-based; analog brokers really were extracting fees for little value. The fastest-growing SaaS company in history at the time, by revenue ramp.

Where the framework answers break

Is the product a must-have or a vitamin? Here is the subtle trap: **free-product adoption is not evidence of pain.** SMBs accepted free HR software the way anyone accepts free things. The framework asks "will customers buy your solution?" — Zenefits never actually tested that, because the software wasn't what customers paid for. The paying product was insurance, where Zenefits was a me-too broker with no product advantage at all.

How will you protect existing customers from competition? No answer existed. The free software was thin and easily replicated — Gusto and Rippling (founded by Zenefits' own ousted CEO) rebuilt it with better engineering. The insurance commissions, the actual revenue, were regulated, commodity, and portable. There was no compounding loop anywhere in the model: more customers did not make the product better, the data richer, or the moat deeper.

How fast do you need to build the company? Zenefits answered this question backwards. The speed was set by venture expectations and burn rate, not by any market window — analog insurance brokers were not about to transform. The artificial urgency produced the scandal that killed the company: unlicensed employees selling insurance, and a macro written to let salespeople skip mandatory licensing training. When your business model is regulatory arbitrage, compliance is the product; Zenefits treated it as friction.

Inversion — what fifteen minutes would have found

Three flags were visible from the outside. First, success depended on a regulated industry (insurance) that the company had no expertise in and visible contempt for. Second, the unit economics required every free-software user to convert into a brokerage client and stay — but nothing prevented them from taking the free software and keeping their existing broker. Third, the team question: nobody senior had insurance, compliance, or SMB services experience. The founding team could build software; the business they were actually in was brokerage.

The lesson: distribution hacks are not moats. "Free" buys adoption, not love, and adoption of a free product answers none of the framework's value-creation questions. When the monetization layer is a commodity in a regulated industry, the inversion exercise should end the meeting.

Fast

Founded 2019 · One-click checkout · Raised ~\$125M (led by Stripe) · Shut down April 2022 with ~\$600K annual revenue against ~\$10M monthly burn

The Opportunity — where it sounded strong

What type of opportunity? Pitched as bringing Amazon's patented one-click checkout to the rest of the internet (the patent had expired in 2017). Checkout friction is real — cart abandonment hovers around 70% — and "one click everywhere" is an easy story to tell. Stripe led the Series A and B, which read as the strongest possible signal.

Where the framework answers break

Why does the opportunity exist? It didn't. Walk the framework's list: the market wasn't badly understood (everyone in commerce knew checkout friction cold); incumbents **could** move and already had — Shopify's Shop Pay, Apple Pay, PayPal, and Google Pay all existed at founding, each with massive built-in distribution; and competition was neither weak nor little (Bolt was running the identical playbook with a head start). Every single "why does this opportunity exist" condition fails on inspection. Fast was a me-too product that was not an order of magnitude better — it was the same product with less distribution.

Who is your customer, and what is the financial impact for them? The customer is the merchant, and the merchant's question is brutal: "why should I add your unknown button next to Apple Pay and Shop Pay?" For a one-click network to beat checkout friction it needs density — shoppers must already have accounts for the magic to work. Fast needed merchant adoption to get shopper density and shopper density to justify merchant adoption, with no wedge to break the loop. Shopify solved that cold-start problem by owning the merchants already.

How does the product improve with scale? The honest answer was "network effects, eventually, if we win" — which is a description of the prize, not a mechanism for winning it. Meanwhile the company spent like the network already existed: NFL sponsorships, a boat at a yacht festival, ~\$10M monthly burn against \$600K in annual revenue.

Inversion — what fifteen minutes would have found

This is the framework's "cool solution looking for a problem" question answering itself. The problem (checkout friction) was real but already being solved by companies that owned the surrounding real estate. Fast's success required merchants to ignore native solutions from the platforms they already ran on — a direct hit on "does your success depend on other companies?" (yes: on Shopify and Apple declining to compete in their own checkout). Diligence on the founder's history would have added a further flag.

The lesson: a real problem is not the same as an available opportunity. The framework's market questions — can incumbents move? is competition weak? — exist precisely to catch the case where the pain is genuine but the seat at the table is already taken. Fast failed every one of them on day one.

Olive AI

Founded 2012, ~27 pivots to healthcare automation · Peak \$4B valuation (2021) · Shut down December 2023

The Opportunity — where it sounded strong

What type of opportunity? Pitched as a paradigm shift: AI automation for healthcare administration, attacking the estimated \$1 trillion of annual administrative waste in US healthcare. The problem is real, enormous, and well-documented. Hospital executives were under board pressure to "have an AI strategy," and Olive — branded as "the AI employee" — sold them one. Revenue-cycle automation (eligibility checks, claims status, prior authorization) is genuinely painful, high-frequency work.

Where the framework answers break

Is this actually a paradigm shift? No — and this is the load-bearing failure. Under the AI branding, the product was substantially robotic process automation: scripts and screen-scraping bots that clicked through hospital and payer web portals. Bots broke whenever a portal changed its UI. The claimed technology type and the actual technology type were different, which silently invalidated every downstream answer that depended on "paradigm shift" being true.

Will customers buy? How do you know? Deceptively, customers *did* buy — at peak, Olive counted hundreds of hospital clients. But they were buying the AI story, driven by executive FOMO, not measured ROI. Buying is only half the framework's question; the proof is **renewal**, and renewals collapsed when promised savings failed to materialize. Investigative reporting in 2022 found customers and former employees describing capabilities that were oversold relative to what was delivered.

How does the product improve with scale? It got *worse* with scale — the inverted answer. Every hospital deployment was bespoke integration work against that hospital's specific portals and systems: services labor disguised as software. A hundred customers meant a hundred brittle, hand-maintained installations, not one compounding product. Roughly 27 pivots over the company's life signal the same thing the framework's inversion question asks directly: a solution in search of its problem.

Inversion — what fifteen minutes would have found

Ask one question of any "AI for healthcare admin" pitch: **what happens to gross margin as you add customers?** If each deployment needs dedicated integration engineers, you are a services firm at SaaS valuations. Second flag: the gap between marketing language ("AI employee") and verifiable mechanism (RPA bots) — when the description of *how it works* stays vague under questioning, the technology claim is usually the soft spot. Third: hospital sales cycles and integration timelines are measured in years, while the company raised \$850M+ priced for hypergrowth — a metabolism mismatch in the opposite direction from Bill.com's.

The lesson: a giant TAM and a real problem cannot rescue a product whose economics degrade with scale. Sold-but-not-renewed is the most expensive false positive in B2B — it looks exactly like product-market fit for about eighteen months.

WeWork

Founded 2010 · Flexible office space · Peak \$47B valuation (January 2019) · IPO withdrawn September 2019 · Chapter 11 November 2023

The Opportunity — where it sounded strong

What type of opportunity? Pitched as a paradigm shift: "space-as-a-service," a technology platform and global community redefining how the world works. The underlying demand was real — companies wanted flexibility instead of ten-year lease commitments, and WeWork's buildings filled up. Occupancy proved people wanted the product. What it could not prove was that the business deserved a technology company's valuation.

Where the framework answers break

Is this actually a paradigm shift? The same divergence-tell as Olive, at fifty times the scale. The claimed category was a tech platform; the actual mechanism was **lease arbitrage** — rent space long-term, subdivide it, sublet it short-term with better design and free beer. Once the opportunity type is classified correctly, a public comparable snaps into view: IWG (Regus) ran the identical business, profitably, at global scale — valued around \$3B against WeWork's \$47B. The fifteen-minute inversion was literally one ticker lookup.

Can the incumbents serve this market? Yes — IWG was already serving it, profitably. No structural blockage existed anywhere: landlords could and did launch their own flex-space offerings the moment demand was proven. Unlike every Part I incumbent, IWG's only handicap was spending less recklessly.

How does the product improve with scale? It got worse — and not gradually. Each new location added a 10-to-15-year lease liability against month-to-month customer revenue: a **duration mismatch** that scale concentrated rather than diluted. No network effect connected the buildings — a member in New York does not make the San Francisco location more valuable in any monetizable way — and the "community" moat never appeared in the unit economics. In a downturn, customers leave in thirty days; the leases stay for fifteen years. That is the whole case, and it was visible by 2015.

How fast do you need to build? The speed was set entirely by capital supply — SoftBank's billions demanded hypergrowth, and growth at negative unit economics multiplied the losses. Governance followed the same logic — supervoting shares, self-dealing on buildings and even the "We" trademark. The team question — can this team build *and operate*? — was answered by the S-1.

Inversion — what fifteen minutes would have found

Two questions end the analysis. First, the comparable: why is the identical business worth \$3B in public markets and \$47B in private ones? Second, the framework's dependency question — "does your success depend on other companies?" WeWork's answer: on capital markets remaining perpetually generous, and on landlords continuing to sign. The September 2019 S-1 forced public investors to run exactly this framework, and the \$47B valuation went to roughly \$8B in six weeks — then to zero in bankruptcy four years later.

The lesson: misclassifying the opportunity type silently corrupts every downstream answer. A real estate company answered technology-company questions for nine years, and capital priced those answers until the S-1 forced a re-read. "What type of opportunity is this?" comes first for a reason — get it wrong and nothing after it can be trusted.

PART III

Pattern Recognition

What the strong answers share, what the weak answers share, and how to tell them apart in the room.

Five patterns in the successes

1 — The problem sits inside an unavoidable money workflow. Taking payments (Toast), selling goods (Shopify), keeping books (QuickBooks), paying bills (Bill.com). Frequency is daily-to-monthly and criticality is "the business breaks without it." None is a vitamin. When the framework is run on a weak idea, the frequency-and-criticality questions are usually where it falls apart first.

2 — The incumbent is structurally blocked, not merely slow. Dealer channels (Toast), enterprise-only focus (Shopify, Bill.com), a deliberately wrong customer model (QuickBooks). The strong form of the answer is always "responding would destroy something the incumbent needs" — never "we'll move faster than they do."

3 — The market looked bad or boring at founding. Restaurants are awful customers; tiny merchants aren't a market; small-business owners can't do accounting; AP is a backwater. Great B2B opportunities usually hide behind a reason smart investors say no. If the market is obviously attractive, the "weak competition" answer fails by definition.

4 — SaaS is the wedge; transactions are the business. Toast, Shopify, Bill.com, and Ramp all earn most of their revenue on payment flows, not subscriptions. The strong answer to "how much will customers pay" is often "a percentage of their revenue, invisibly" rather than a price point.

5 — Founder-problem proximity is extreme, and the compounding answer is concrete. Lütke was the customer; Lacerte had built SMB payroll twice; Cook watched customers in their own offices; Conrad was rebuilding in the market that broke him; Glyman had built savings software before. And each company could name its compounding mechanism — ecosystem, payment network, advisor channel, employee graph, vertical depth — rather than gesturing at "network effects."

The NRR engine: owning the payment rails

The deepest pattern in Part I deserves its own treatment, because it is the mechanical answer to the framework's churn question. Toast, Shopify, Bill.com, and Ramp all monetize as a **percentage of the customer's own flow** — payment volume, GMV, funds in motion, card spend. The consequence is net revenue retention above 100%: every surviving customer expands Ramp's or Toast's revenue automatically, with no sales touch, simply by growing its own business.

This is how logo churn gets offset. Toast loses restaurants every single year — the industry guarantees it — and revenue grows anyway, because the survivors' payment volume more than covers the losses. Shopify's merchant base churns heavily at the bottom while the winners grow GMV exponentially, so revenue concentrates in survivors. The rails turn the customer's growth into your growth, which means the honest answer to "how will you protect existing customers?" has two halves: **defensively**, switching costs; **offensively**, expansion revenue that outruns gross churn.

Rippling runs the same engine on different fuel: instead of transaction volume, NRR comes from cross-selling new products into the employee graph — each module adopted raises the account's value and its switching cost simultaneously. Now invert it: Zenefits had flat brokerage commissions with no expansion mechanism; Fast earned thin per-transaction fees on a network that never formed; WeWork could only "expand" a customer by signing more long-term lease liabilities. None had a path to NRR above 100% — which means all three needed perpetual new logo acquisition just to stand still. That is the treadmill that burn rates turn lethal.

The diligence question this implies: ask any B2B company for gross churn and net revenue retention separately. A business with 15% gross churn and 120% NRR (Toast's shape) is structurally healthy; a business with 5% gross churn and 95% NRR has no engine and is quietly shrinking inside every account. The second shape describes every company in Part II.

The question we skipped: reaching customers faster than competitors

The framework asks it directly — "how will you get new customers faster than competitors?" — and it deserves a per-company answer, because the winners' answers share a structure that is easy to miss: **none of them won distribution by outspending anyone.** Each either borrowed a channel where trust already existed or removed a structural friction that priced competitors out of the conversation.

Toast — vertical feet-on-the-street sales plus the restaurant industry's unusually dense referral network: operators talk constantly, and GMs and chefs who change restaurants bring their POS preference with them. Selling one neighborhood deeply beat selling one city thinly.

Shopify — self-serve at \$29 with no salesperson required, fed by content and SEO that owned every "how to sell online" search, while the agency and theme-developer ecosystem acted as a distributed salesforce that Shopify never had to pay.

QuickBooks — retail shelf presence for the initial land, then the accountant channel as the compounding engine: every CPA who standardized on it told every new client to use it. The trusted advisor did the selling, free, forever.

Bill.com — rented trust outright: the exclusive CPA.com arrangement put the accounting profession's own institution in the sales seat, and bank white-labels did the same with the customer's most conservative relationship.

Rippling — the compound model funds its own distribution: a multi-product ACV supports a sales engine that \$8-per-seat point solutions cannot afford to match, layered on the broker channel Conrad re-entered as a partner instead of a predator.

Ramp — removed price friction entirely (free software funded by interchange), gave CFOs a one-line, verifiable ROI pitch (quantified savings on the dashboard), and rode the finance-leader referral network — controllers change companies and bring their stack with them.

Now the contrast. **Fast** bought NFL sponsorships and festival yachts before product-market fit — brand spend as a substitute for a channel. **WeWork** ran brand-led, capital-fueled expansion against an incumbent whose only weakness was spending less. **Zenefits** used "free" as a substitute for a channel and got adoption without commitment. The tell is direction: winners found channels where someone the customer already trusted made the introduction; losers paid to introduce themselves.

Was the market size obvious? Almost never — and the TAM slide inverts

Run the framework's "what is your TAM?" question across Part I as of each founding date, and a strange pattern appears: **every spreadsheet said the market was small**. The spreadsheets weren't wrong about what they measured — they were measuring the wrong thing, in one of two recurring ways.

First way: the category was small, but the flow underneath it was enormous. In 2012, "restaurant POS software" was a modest replacement market; Toast's actual base was the roughly \$800B of US restaurant sales it could take basis points on. In 2006, "SMB accounts-payable software" was a rounding error; Bill.com's base was the trillions of dollars of B2B payments still moving by paper check. In 2019, expense-management software meant Concur's market — small and contested; Ramp's base was corporate card spend itself, monetized at interchange. Sizing these companies on the software category undercounted them by one to two orders of magnitude, because **the product was the wedge and the flow was the market**. This is the TAM corollary of the NRR engine above: when you monetize the customer's own volume, your market is their revenue, not your license fee.

Second way: the market was latent — it didn't exist until the product created its customers. In 2006 the honest count of "small merchants who want their own online store" was tiny, because opening a store cost \$50K and a developer. Shopify didn't take share of that market; at \$29 and a weekend of work, it **minted merchants who would otherwise never have existed**. QuickBooks is the same story one layer down: the "accounting software market" counted people willing to buy accounting software — accountants and sophisticated firms — while the real market was every business that needs books, which is all of them. That latent demand was invisible in any sizing exercise because **non-consumption doesn't appear in spreadsheets**; it only showed up as an anomaly — thousands of people misusing Quicken to run businesses. Toast has the same second layer: eliminating the \$50K upfront install opened "real POS" to small independents who had been priced out entirely.

The unifying point: **TAM is partly endogenous**. It is a function of your price, your friction, and your monetization model — not a fixed number waiting in an analyst report. Lower the entry cost by an order of magnitude and the addressable base is a different population; monetize the flow instead of the seat and the ceiling is a different number. Rippling extends the logic on a third axis: each individual category (payroll, device management, identity) was a known, modest market, but the compound TAM is their *sum per employee* — the market grew with every product the employee graph justified building.

Now invert it, because the failures ran the opposite pattern: **their TAMs were the most obvious and most impressive numbers in this entire document**. WeWork claimed an addressable market of trillions — all the office space in the world. Olive pointed at \$1T of annual healthcare administrative waste. Fast cited the trillions of e-commerce GMV leaking through abandoned carts. Every number was real as a measure of *activity* — and meaningless as a measure of *their accessible revenue*, because none of them had a mechanism of capture: no structural block on incumbents, no compounding loop, no expansion engine. A giant well-documented TAM is what remains of a pitch when the actual answers are missing.

The heuristic this produces: be most suspicious when the TAM is the most impressive slide, and most curious when the honest spreadsheet says the market is small. Then ask two questions: what is the underlying flow this product could eventually monetize, and how does the addressable base change if price and friction fall by 10x? The billion-dollar answers in Part I were all hiding inside one of those two questions.

Five tells in the failures

1 — Adoption mistaken for pain. Free signups (Zenefits) and FOMO purchases (Olive) both pattern-match to traction while answering none of the value-creation questions. The corrective test is always the same: do customers pay full price, and do they *renew*?

2 — Incumbents who could move, and did. Fast's entire opportunity thesis required Shopify, Apple, and PayPal to ignore their own checkout — the exact inverse of the structural-blockage pattern above.

3 — Economics that degrade with scale. Olive's per-customer integration labor and WeWork's per-location lease liabilities both meant growth made the business worse. Any "AI" or "platform" pitch should be asked what happens to gross margin — and to the liability side of the balance sheet — at customer one hundred.

4 — Speed set by burn rate instead of market window. Zenefits, Fast, and WeWork all moved at the speed their capital demanded through markets with no closing window, manufacturing the urgency that produced compliance fraud, a spending implosion, and a \$39B valuation collapse respectively. Compare Bill.com, which matched a slow market with thirteen patient years.

5 — The technology claim and the actual mechanism diverge. "AI employee" versus screen-scraping bots; "space-as-a-service tech platform" versus lease arbitrage; "fastest-growing SaaS company" versus a commodity insurance brokerage. When the answer to "how does it actually work" stays vague under pressure, the opportunity-type classification is wrong — and every answer built on it is wrong too.

The framework, side by side

Framework question	Strong answer (successes)	Weak answer (failures)
Why does the opportunity exist?	Incumbent is structurally blocked: responding destroys its channel, margin, or positioning (Toast, QuickBooks).	Incumbent simply hasn't bothered yet — and turns out to be perfectly able to respond (Fast vs. Shop Pay).
Is it a must-have or a vitamin?	Sits in an unavoidable money workflow; business breaks without it; usage is daily.	Adoption driven by "free" or by hype; pain never tested with a real invoice (Zenefits, Olive).
Will customers buy? How do you know?	Observed behavior: misuse of adjacent products (Quicken), founder as first customer (Shopify), organic pull.	Stated interest, FOMO purchases, free signups. Bought once but quietly not renewed.
How does it improve with scale?	Nameable mechanism: app ecosystem, two-sided payment network, advisor channel, employee graph, vertical depth.	"Network effects" as aspiration (Fast); economics that worsen per customer (Olive); liabilities that scale faster than revenue (WeWork).
What is your TAM?	Looked small on the software category; sized honestly on the underlying flow (GMV, payments, spend) or on latent demand unlocked by 10x lower friction (Toast, Shopify, Bill.com, Ramp).	Looked enormous: trillions of activity (all office space, all admin waste, all carts) with no mechanism of capture. Headline TAM mistaken for accessible revenue.
How will you get customers faster than competitors?	Borrowed trust — CPAs, brokers, banks, agency ecosystems — or structurally removed friction: self-serve, free product funded by transaction economics (Shopify, Ramp).	Brand spend ahead of product-market fit (Fast's NFL deals, WeWork); "free" as a substitute for a channel (Zenefits).
How do you offset churn?	Offensively: NRR above 100% from payment rails or cross-sell — surviving customers expand automatically (Toast, Shopify, Bill.com, Ramp, Rippling).	No expansion mechanism: flat commissions (Zenefits), thin per-transaction fees on a network that never formed (Fast), expansion that adds liabilities (WeWork).
How fast must you build?	Speed matched to the market's metabolism — patient capital in slow markets (Bill.com, 13 years to IPO).	Speed set by burn and investor expectations; urgency manufactured, compliance sacrificed (Zenefits).
Why are you the right person?	Specific earned knowledge: founder was the customer or had built in the exact domain before.	Generic excellence; no one on the team from the regulated or operational core of the actual business.
Inversion: the fatal flaw?	Flaw is real but survivable, with a stated reason why (churn offset by payment ownership, power-law merchants).	Flaw is structural and visible in 15 minutes, but masked by growth metrics that measure the wrong thing.

A closing exercise. Take any idea you are currently evaluating and answer four questions in writing. *Why can't the incumbent respond? What is the mechanism — not the aspiration — by which the product improves with scale? What makes net revenue retention exceed 100% — which rails, cross-sell, or expansion path turns the customer's growth into yours? And what is the underlying flow this product could eventually monetize, and how does the addressable base change if price and friction fall by 10x?* If any answer takes more than three sentences, contains the phrase "network effects" without a cold-start plan, or leans on a trillion-dollar top-down TAM, you have found where the fifteen minutes of inversion should be spent.